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GASB STATEMENT NO. 68 REPORT

FOR THE

TEACHERS' RETIREMENT SYSTEM

OF THE STATE OF KENTUCKY

PREPARED AS OF JUNE 30, 2023



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April 12, 2024

Board of Trustees
Teachers' Retirement System of the
State of Kentucky
479 Versailles Road
Frankfort, KY 40601-3800

Members of the Board:

Presented in this report is information to assist the Teachers' Retirement System of the State of Kentucky (TRS) in meeting the requirements of the Governmental Accounting Standards Board (GASB) Statement No. 68 and to identify the information to be provided by the actuary, Cavanaugh Macdonald Consulting (CMC). This report has been prepared as of June 30, 2023 (the Measurement Date).

GASB Statement Number 68 established accounting and financial reporting requirements for governmental employers that provide pension benefits to their employees through a trust.

The annual actuarial valuation used as a basis for much of the information presented in this report was performed as of June 30, 2022. The valuation was based upon data furnished by the TRS staff for active, inactive and retired members along with pertinent financial information. While not verifying data at the source, the actuary performed tests for consistency and reasonableness.

In order to prepare the results in this report, we have utilized actuarial models that were developed to measure liabilities and develop actuarial costs. These models include tools that we have produced and tested, along with commercially available valuation software that we have reviewed to confirm the appropriateness and accuracy of the output. In utilizing these models, we develop and use input parameters and assumptions about future contingent events along with recognized actuarial approaches to develop the needed results.

The actuarial calculations were performed by qualified actuaries according to generally accepted actuarial principles and practices, as well as in conformity with Actuarial Standards of Practice issued by the Actuarial Standards Board. The calculations are based on the current provisions of the Plan and on actuarial assumptions that are internally consistent and individually reasonable based on the actual experience of the Plan. In addition, the calculations were completed in compliance with the laws governing the Plan and, in our opinion, meet the requirements of GASB 68. The undersigned are members of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein.



Board of Trustees
April 12, 2024
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These results are only for financial reporting and may not be appropriate for funding purposes or other types of analysis. Calculations for purposes other than satisfying the requirements of GASB 67 and GASB 68 may produce significantly different results. Future actuarial results may differ significantly from the current results presented in this report due to such factors as changes in plan experience or changes in economic or demographic assumptions.

Sincerely yours,

A handwritten signature in blue ink that reads 'Edward J. Koebel'.

Edward J. Koebel, EA, FCA, MAAA
Chief Executive Officer

A handwritten signature in blue ink that reads 'Alisa Bennett'.

Alisa Bennett, FSA, EA, FCA, MAAA
President

A handwritten signature in blue ink that reads 'Cathy Turcot'.

Cathy Turcot
Principal and Managing Director

A handwritten signature in blue ink that reads 'Micki R. Taylor'.

Micki Taylor, ASA, EA, FCA, MAAA
Consulting Actuary



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Section I – Introduction

The Governmental Accounting Standards Board issued Statement No. 68 (GASB 68), *“Accounting and Financial Reporting For Pensions”* in June 2012. The Teachers’ Retirement System of the State of Kentucky (TRS) is a cost-sharing multiple employer defined benefit pension plan.

This report, prepared as of June 30, 2023 (the Measurement Date), presents information to assist the employers participating in TRS in meeting the requirements of GASB 68 for the fiscal year ending June 30, 2024 (Reporting Date). Much of the material provided in this report is based on the results of the annual actuarial valuation of TRS as of June 30, 2022. The results of the valuation were detailed in a report dated November 14, 2022.

The NPL shown in the GASB Statement No. 67 Report for the Teachers’ Retirement System of the State of Kentucky Prepared as of June 30, 2023, and submitted November 15, 2023, is the collective NPL used for purposes of GASB 68. Please refer to that report for the derivation of the collective NPL.

Pension Expense (PE) includes amounts for service cost (the normal cost under the Entry Age Normal actuarial cost method for the year), interest on the Total Pension Liability (TPL), changes in benefit structure, amortization of increases/decreases in liability due to actuarial experience and actuarial assumption changes, and amortization of investment gains/losses. The actuarial experience and assumption change impacts are amortized over the average expected remaining service life of the Plan membership as of the Measurement Date, and investment gains/losses are amortized over five years. The development of the collective PE is shown in Section IV.

The unamortized portions of each year’s experience, assumption changes and investment gains/losses are used to develop deferred inflows and outflows, which also must be included in the employer’s financial statements. The development of the collective deferred inflows and outflows is shown in Section III.

These collective amounts have been allocated based on actual contributions made to TRS during the measurement period to determine the proportionate share to each participating employer. In addition, TRS receives contributions directly from the State of Kentucky for all participating employers. These employers are considered to be in a special funding situation as defined by GASB 68 and the State is treated as a non-employer contributing entity in TRS.

Schedule A of this report shows the total amount of employer contributions for the year ending June 30, 2023 from each participating employer, the amount of contributions from the State associated with each employer in special funding situation and the total amount of State contributions. Schedule A also shows the proportionate share percentages that have been determined based on these contributions.

Based on these percentages we have determined the proportionate share amounts of the NPL, PE and Deferred Inflows and Outflows for each participating employer. These amounts are shown in Schedule B. The proportionate share amounts of each of these items associated with each employer in a special funding situation and the total proportionate share amounts of each item for the State are also provided.



Section I – Introduction

Section II of this report is a summary of the principal results of the collective amounts under GASB 68. Section III provides the results of all the necessary calculations, presented in the order laid out in GASB 68 for note disclosure and Required Supplementary Information (RSI).



Section II – Summary of Collective Amounts

(\$ IN THOUSANDS)

	2023
Valuation Date:	June 30, 2022
Prior Measurement Date:	June 30, 2022
Measurement Date:	June 30, 2023
Reporting Date:	June 30, 2024
Single Equivalent Interest Rate (SEIR):	
Long-Term Expected Rate of Return	7.10%
Municipal Bond Index Rate at Prior Measurement Date	3.37%
Municipal Bond Index Rate at Measurement Date	3.66%
Fiscal Year in which Plan's Fiduciary Net Position is projected to be depleted from future benefit payments for current members	N/A
Single Equivalent Interest Rate at Prior Measurement Date	7.10%
Single Equivalent Interest Rate at Measurement Date	7.10%
Net Pension Liability:	
Total Pension Liability (TPL)	\$42,029,935
Fiduciary Net Position (FNP)	<u>24,244,554</u>
Net Pension Liability (NPL = TPL – FNP)	\$17,785,381
FNP as a percentage of TPL	57.68%
Pension Expense (PE):	\$2,348,473
Deferred Outflows of Resources:	\$1,636,411
Deferred Inflows of Resources:	\$0



Section III – Notes to the Financial Statements

The material presented herein will follow the order presented in GASB 68. Paragraph numbers are provided for ease of reference. Amounts are shown in aggregate. Please refer to Schedule B of this report for the proportionate share of certain pension amounts as required by GASB 68.

Paragraphs 77 and 78(a)-(e): These paragraphs require information to be disclosed regarding the actuarial assumptions used to measure the TPL. The complete set of actuarial assumptions utilized in developing the TPL are outlined in Schedule C. The TPL was determined by an actuarial valuation as of June 30, 2022, using the following key actuarial assumptions:

Inflation	2.50 percent
Salary increases, including inflation	3.00 – 7.50 percent
Long-Term Investment Rate of Return, net of pension plan investment expense, including inflation	7.10 percent
Municipal Bond Index Rate	
Prior Measurement Date	3.37 percent
Measurement Date	3.66 percent
Year FNP is projected to be depleted	N/A
Single Equivalent Interest Rate, net of pension plan investment expense, including inflation	
Prior Measurement Date	7.10 percent
Measurement Date	7.10 percent
Post-Retirement Benefit Increases	1.50% annually

Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality Table projected generationally with MP-2020 with various set-forwards, set-backs, and adjustments for each of the groups; service, retirees, contingent annuitants, disabled retirees, and active members. The actuarial assumptions used were based on the results of an actuarial experience study for the 5-year period ending June 30, 2020, adopted by the board on September 20, 2021. The Municipal Bond Index Rate used for this purpose is the June average of the Bond Buyer General Obligation 20-year Municipal Bond Index.

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.



Section III – Notes to the Financial Statements

The target asset allocation and best estimates of arithmetic real rates of return for each major asset class, as provided by TRS's investment consultant, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rates of Return
Large Cap U.S. Equity	35.4%	5.0%
Small Cap U.S. Equity	2.6%	5.5%
Developed International Equity	15.7%	5.5%
Emerging Markets Equity	5.3%	6.1%
Fixed Income	15.0%	1.9%
High Yield Bonds	5.0%	3.8%
Other Additional Categories	5.0%	3.6%
Real Estate	7.0%	3.2%
Private Equity	7.0%	8.0%
Cash	2.0%	1.6%
Total	100.0%	

Discount rate. The discount rate used to measure the TPL as of the Measurement Date was 7.10 percent. The projection of cash flows used to determine the discount rate was performed in accordance with GASB 67. We assumed that Plan member contributions will be made at the current contribution rates and that Employer contributions will be made at the Actuarially Determined Contribution rates for all fiscal years in the future. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Paragraph 78 (g): This paragraph requires disclosure of the sensitivity of the net pension liability to changes in the discount rate. The following presents the net pension liability of the System, calculated using the discount rate of 7.10 percent, as well as what the System's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.10 percent) or 1-percentage-point higher (8.10 percent) than the current rate (\$ thousands):

	1% Decrease (6.10%)	Current Discount Rate (7.10%)	1% Increase (8.10%)
System's net pension liability	\$22,852,220	\$17,785,381	\$13,563,822



Section III – Notes to the Financial Statements

Paragraph 80(a): This paragraph requires disclosure of the employer's proportionate share of the collective NPL and if an employer has a special funding situation the portion of the non-employer contributing entities' proportional share of the collective NPL that is associated with the employer. These amounts are shown in Schedule B.

Paragraph 80(b): This paragraph requires disclosure of the employer's proportion (percentage) of the collective NPL and the changes in proportion since the prior measurement date. These amounts are shown for all entities in Schedule A.

Paragraph 80(c): June 30, 2022 is the actuarial valuation date upon which the TPL is based. An expected TPL is determined as of June 30, 2023 using standard roll forward techniques. The procedure used to determine the TPL as of June 30, 2023 is shown on page 5 of the GASB 67 report for TRS submitted on November 15, 2023.

Paragraph 80(g): Please see Section IV of this report for the development of the collective pension expense. The PE for each employer is shown in Schedule B.

Paragraph 80(h): Since certain expense items are amortized over closed periods each year, the deferred portions of these items must be tracked annually. If the amounts serve to reduce pension expense they are labeled deferred inflows. If they will increase pension expense they are labeled deferred outflows. The amortization of these amounts is accomplished on a level dollar basis, with no interest included in the deferred amounts. Experience gains/losses and the impact of changes in actuarial assumptions or other inputs, if any, are amortized over the average expected remaining service life of the active and inactive Plan members at the beginning of the fiscal year. Investment gains and losses are amortized over a fixed five-year period.



Section III – Notes to the Financial Statements

The table below provides a summary of the collective deferred inflows and outflows as of the Measurement Date. The allocation of the collective deferred inflows and outflows is provided in Schedule B.

	Collective Deferred Outflows of Resources (\$ thousands)	Collective Deferred Inflows of Resources (\$ thousands)
Differences between expected and actual experience	\$ 331,525	\$ 0
Changes of actuarial assumptions or other inputs	824,423	0
Net difference between projected and actual earnings on plan investments	<u>480,463</u>	<u>0</u>
Total	<u>\$1,636,411</u>	<u>\$ 0</u>

Paragraph 80(i): Collective amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Deferred Amounts to be Recognized in Fiscal Years Following the Reporting Date: (\$ thousands)	
Year 1	\$825,704
Year 2	61,278
Year 3	874,290
Year 4	(124,861)
Year 5	0
Thereafter	<u>0</u>

The allocation of these deferred amounts for each participating employer is shown in Schedule C.



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences between Expected and Actual Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2023	\$398,576	\$0	4.1	\$0	\$0	\$398,576	\$0	\$97,214	\$0	\$301,362	\$0
2022	42,986	0	3.9	31,964	0	0	0	11,022	0	20,942	0
2021	32,475	0	4.1	16,633	0	0	0	7,921	0	8,712	0
2020	10,661	0	4.2	3,047	0	0	0	2,538	0	509	0
2019	93,650	0	4.3	6,534	0	0	0	6,534	0	0	0
Total				\$58,178	\$0	\$398,576	\$0			\$331,525	\$0



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences from Assumption Changes or Other Inputs (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2023	\$0	\$0	4.1	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
2022	0	0	3.9	0	0	0	0	0	0	0	0
2021	3,072,848	0	4.1	1,573,898	0	0	0	749,475	0	824,423	0
2020	0	0	4.2	0	0	0	0	0	0	0	0
2019	0	0	4.3	0	0	0	0	0	0	0	0
Total				<u>\$1,573,898</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>			<u>\$824,423</u>	<u>\$0</u>



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences in Investment Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2023	\$0	\$672,901	5.0	\$0	\$0	\$0	\$672,901	\$0	\$134,580	\$0	\$538,321
2022	4,558,280	0	5.0	3,646,624	0	0	0	911,656	0	2,734,968	0
2021	0	4,493,351	5.0	0	2,696,011	0	0	0	898,670	0	1,797,341
2020	405,785	0	5.0	162,314	0	0	0	81,157	0	81,157	0
2019	387,374	0	5.0	77,474	0	0	0	77,474	0	0	0
Total				<u>\$3,886,412</u>	<u>\$2,696,011</u>	<u>\$0</u>	<u>\$672,901</u>			<u>\$2,816,125</u>	<u>\$2,335,662</u>
Net difference between projected and actual earnings on investments										\$480,463	\$0



Section III – Notes to the Financial Statements

Paragraph 80(j): The amount of revenue recognized for the support provided by non-employer contributing entities for the participating employers is provided in Schedule B.

Paragraphs 81(a)-(b): CMC was not required to supply this information.



Section IV – Pension Expense

As noted earlier, the collective Pension Expense (PE) consists of a number of different items. GASB 68 refers to the first as Service Cost which is the Normal Cost using the Entry Age Normal actuarial funding method. The second item is interest on the beginning Total Pension Liability (TPL) and the cash flow during the year at the SEIR rate of return in effect as of the previous measurement date.

The next three items refer to any changes that occurred in the TPL due to:

- benefit changes, or
- actual versus expected experience, or
- changes in actuarial assumptions or other inputs.

Benefit changes, which are reflected immediately in PE, can be positive, if there is a benefit improvement for existing Plan members, or negative if there is a benefit reduction. For the year ended June 30, 2023, there were no benefit changes to be recognized.

The next item to be recognized is the portion of current year changes in TPL due to actual versus expected Plan experience for the year. The portion to recognize in the current year is determined by spreading the total change over the average expected remaining service life of the entire Plan membership determined at the beginning of the year. The average expected remaining service life of active members is the average number of years the active members are expected to remain active. For the year ended June 30, 2023, the average expected remaining service life for the active members is 10.6 years. The average expected remaining service life of the inactive members is zero. The number of years to use for the amortization is the weighted average for all active and inactive members, or 4.1 years.

The last item under changes in TPL are changes in actuarial assumptions or other inputs. There were no changes in assumptions or other inputs since the last measurement date. Changes in actuarial assumptions or other inputs are recognized over the average expected remaining service life of the plan membership.

Member contributions for the year and projected earnings on the Fiduciary Net Position (FNP), again at the discount rate used to calculate the liabilities, are subtracted from the amount determined thus far. One-fifth of current period differences between projected and actual investment earnings on the FNP are recognized in the pension expense.

The current year portions of previously determined experience, assumption and earnings amounts, recognized as deferred outflows and inflows (see Section V) are included also. Deferred outflows are added to the PE while deferred inflows are subtracted from the PE. Finally, administrative expenses and other miscellaneous items are included.



Section IV – Pension Expense

The calculation of the Collective Pension Expense determined as of the measurement date is shown in the following table:

Collective Pension Expense Determined as of the Measurement Date (\$ thousands)	
Service Cost at end of year	\$654,676
Interest on the TPL and net cash flow	2,796,631
Current-period benefit changes	0
Expensed portion of current-period difference between expected and actual experience in the total pension liability	97,214
Expensed portion of current-period changes of assumptions or other inputs	0
Member contributions	(366,775)
Projected earnings on plan investments	(1,593,184)
Expensed portion of current-period differences between projected and actual earnings on plan investments	(134,580)
Administrative expense	14,471
Other	(69,087)
Recognition of beginning deferred outflows of resources as pension expense	949,107
Recognition of beginning deferred inflows of resources as pension expense	<u>0</u>
Collective Pension Expense	<u>\$2,348,473</u>



Section V – Required Supplemental Information

Paragraphs 82:

Changes of benefit terms.

- A new benefit tier was added for members joining the System on and after January 1, 2022. A description of the benefit provisions applicable to these members can be found in Schedule D of this report.

Changes of assumptions.

- In 2014, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.16% to 5.23%.
- In 2015, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.23% to 4.88%.
- In the 2016 valuation, rates of withdrawal, retirement, disability and mortality were adjusted to more closely reflect actual experience. In the 2016 valuation, the Assumed Salary Scale, Price Inflation, and Wage Inflation were adjusted to reflect a decrease. In addition, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.88% to 4.20%.
- In 2017, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.20% to 4.49%.
- In 2018, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.49% to 7.50%.
- In the 2020 experience study, rates of withdrawal, retirement, disability, mortality, and rates of salary increases were adjusted to reflect actual experience more closely. The expectation of mortality was changed to the Pub2010 Mortality Tables (Teachers Benefit-Weighted) projected generationally with MP-2020 with various set forwards, set-backs, and adjustments for each of the groups; service retirees, contingent annuitants, disabled retirees, and actives. The assumed long-term investment rate of return was changed from 7.50 percent to 7.10 percent and the price inflation assumption was lowered from 3.00 percent to 2.50 percent. In addition, the calculation of the SEIR results in an assumption change from 7.50% to 7.10%.

Schedule A – Schedule of Employer Allocations as of June 30, 2023



Code	University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
263	Eastern Kentucky University	\$ 7,130,500	\$ 7,931,038	\$ 15,061,538	14.1375%	15.7247%	29.8622%
266	Kentucky State University	1,549,438	1,723,393	3,272,831	3.0720%	3.4169%	6.4889%
269	Morehead State University	3,716,001	4,133,195	7,849,196	7.3676%	8.1948%	15.5624%
270	Murray State University	3,898,301	4,335,962	8,234,263	7.7291%	8.5968%	16.3259%
273	Western Kentucky University	5,679,519	6,317,157	11,996,676	11.2606%	12.5249%	23.7855%
500	KCTCS Central Office - University	<u>1,904,306</u>	<u>2,118,102</u>	<u>4,022,408</u>	<u>3.7756%</u>	<u>4.1995%</u>	<u>7.9751%</u>
	Total University Contributions	\$ 23,878,065	\$ 26,558,847	\$ 50,436,912	47.3424%	52.6576%	100.0000%

Schedule A (continued)



Code	Non-University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
801	KY High School Athletic Association	\$ -	\$ -	\$ -	0.0000%	0.0000%	0.0000%
805	KY School Boards Association	190,724	275,665	466,389	0.0186%	0.0269%	0.0455%
806	KY Education Association	25,047	36,202	61,249	0.0024%	0.0035%	0.0059%
807	KY Academic Association	13,541	19,572	33,113	0.0013%	0.0019%	0.0032%
809	Jefferson County Teachers' Association	7,459	10,781	18,240	0.0007%	0.0011%	0.0018%
		\$ 236,771	\$ 342,220	\$ 578,991	0.0230%	0.0334%	0.0564%

Code	State Agencies	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
301	Technical Education District - Madisonville	\$ 750,398	\$ 1,084,595	\$ 1,834,993	0.0732%	0.1058%	0.1790%
302	Technical Education District - Bowling Green	770,727	1,113,978	1,884,705	0.0752%	0.1087%	0.1839%
303	Technical Education District - Elizabethtown	-	-	-	0.0000%	0.0000%	0.0000%
304	Technical Education District - Frankfort	568,208	821,265	1,389,473	0.0554%	0.0801%	0.1355%
305	Technical Education District - Hazard	708,843	1,024,533	1,733,376	0.0692%	0.1000%	0.1692%
308	Adult Education - Workforce Investment	5,096	7,366	12,462	0.0005%	0.0007%	0.0012%
316	Office of Career and Technical Education	315,857	456,527	772,384	0.0308%	0.0445%	0.0753%
318	Department for Vocational Rehabilitation	1,863,667	2,693,670	4,557,337	0.1818%	0.2628%	0.4446%
320	School for the Blind	78,365	113,266	191,631	0.0076%	0.0111%	0.0187%
330	School for the Deaf	385,365	556,991	942,356	0.0376%	0.0543%	0.0919%
345	Department of Education	2,296,230	3,318,879	5,615,109	0.2240%	0.3238%	0.5478%
400	KCTCS Central Office	1,070,552	1,547,333	2,617,885	0.1045%	0.1510%	0.2555%
728	Department of Corrections	-	-	-	0.0000%	0.0000%	0.0000%
		\$ 8,813,308	\$ 12,738,403	\$ 21,551,711	0.8598%	1.2428%	2.1026%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
1	Adair County Schools	\$ -	\$ 3,398,899	\$ 3,398,899	0.0000%	0.3316%	0.3316%
2	Allen County Schools	-	3,714,380	3,714,380	0.0000%	0.3624%	0.3624%
3	Anderson County Schools	-	5,147,989	5,147,989	0.0000%	0.5023%	0.5023%
4	Ballard County Schools	-	1,422,857	1,422,857	0.0000%	0.1388%	0.1388%
5	Barren County Schools	-	6,538,436	6,538,436	0.0000%	0.6379%	0.6379%
6	Bath County Schools	-	2,339,811	2,339,811	0.0000%	0.2283%	0.2283%
7	Bell County Schools	-	2,472,553	2,472,553	0.0000%	0.2412%	0.2412%
8	Boone County Schools	-	33,716,900	33,716,900	0.0000%	3.2897%	3.2897%
9	Bourbon County Schools	-	3,526,339	3,526,339	0.0000%	0.3441%	0.3441%
10	Boyd County Schools	-	4,877,073	4,877,073	0.0000%	0.4758%	0.4758%
11	Boyle County Schools	-	4,770,291	4,770,291	0.0000%	0.4654%	0.4654%
12	Bracken County Schools	-	1,617,117	1,617,117	0.0000%	0.1578%	0.1578%
13	Breathitt County Schools	-	2,239,358	2,239,358	0.0000%	0.2185%	0.2185%
14	Breckinridge County Schools	-	3,327,184	3,327,184	0.0000%	0.3246%	0.3246%
15	Bullitt County Schools	-	18,392,718	18,392,718	0.0000%	1.7945%	1.7945%
16	Butler County Schools	-	2,685,318	2,685,318	0.0000%	0.2620%	0.2620%
17	Caldwell County Schools	-	2,069,748	2,069,748	0.0000%	0.2019%	0.2019%
18	Calloway County Schools	-	4,140,929	4,140,929	0.0000%	0.4040%	0.4040%
19	Campbell County Schools	-	7,511,530	7,511,530	0.0000%	0.7329%	0.7329%
20	Carlisle County Schools	-	964,135	964,135	0.0000%	0.0941%	0.0941%
21	Carroll County Schools	-	2,765,387	2,765,387	0.0000%	0.2698%	0.2698%
22	Carter County Schools	-	5,154,386	5,154,386	0.0000%	0.5029%	0.5029%
23	Casey County Schools	-	2,482,402	2,482,402	0.0000%	0.2422%	0.2422%
24	Christian County Schools	-	9,463,942	9,463,942	0.0000%	0.9234%	0.9234%
25	Clark County Schools	-	7,484,966	7,484,966	0.0000%	0.7303%	0.7303%
26	Clay County Schools	-	3,853,306	3,853,306	0.0000%	0.3760%	0.3760%
27	Clinton County Schools	-	1,798,391	1,798,391	0.0000%	0.1755%	0.1755%
28	Crittenden County Schools	-	1,693,612	1,693,612	0.0000%	0.1652%	0.1652%
29	Cumberland County Schools	-	1,097,717	1,097,717	0.0000%	0.1071%	0.1071%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
30	Daviess County Schools	-	16,296,154	16,296,154	0.0000%	1.5900%	1.5900%
31	Edmonson County Schools	-	2,424,866	2,424,866	0.0000%	0.2366%	0.2366%
32	Elliott County Schools	-	1,339,145	1,339,145	0.0000%	0.1307%	0.1307%
33	Estill County Schools	-	2,885,586	2,885,586	0.0000%	0.2815%	0.2815%
34	Fayette County Schools	-	84,569,666	84,569,666	0.0000%	8.2513%	8.2513%
35	Fleming County Schools	-	2,897,571	2,897,571	0.0000%	0.2827%	0.2827%
36	Floyd County Schools	-	6,106,979	6,106,979	0.0000%	0.5958%	0.5958%
37	Franklin County Schools	-	9,641,004	9,641,004	0.0000%	0.9407%	0.9407%
38	Fulton County Schools	-	778,512	778,512	0.0000%	0.0760%	0.0760%
39	Gallatin County Schools	-	1,917,720	1,917,720	0.0000%	0.1871%	0.1871%
40	Garrard County Schools	-	3,406,761	3,406,761	0.0000%	0.3324%	0.3324%
41	Grant County Schools	-	4,488,441	4,488,441	0.0000%	0.4379%	0.4379%
42	Graves County Schools	-	5,389,811	5,389,811	0.0000%	0.5259%	0.5259%
43	Grayson County Schools	-	4,592,308	4,592,308	0.0000%	0.4481%	0.4481%
44	Green County Schools	-	2,376,369	2,376,369	0.0000%	0.2319%	0.2319%
45	Greenup County Schools	-	3,750,292	3,750,292	0.0000%	0.3659%	0.3659%
46	Hancock County Schools	-	2,403,980	2,403,980	0.0000%	0.2346%	0.2346%
47	Hardin County Schools	-	20,828,238	20,828,238	0.0000%	2.0322%	2.0322%
48	Harlan County Schools	-	4,150,762	4,150,762	0.0000%	0.4050%	0.4050%
49	Harrison County Schools	-	3,861,813	3,861,813	0.0000%	0.3768%	0.3768%
50	Hart County Schools	-	3,377,162	3,377,162	0.0000%	0.3295%	0.3295%
51	Henderson County Schools	-	9,644,833	9,644,833	0.0000%	0.9410%	0.9410%
52	Henry County Schools	-	2,845,673	2,845,673	0.0000%	0.2776%	0.2776%
53	Hickman County Schools	-	1,118,080	1,118,080	0.0000%	0.1091%	0.1091%
54	Hopkins County Schools	-	8,550,997	8,550,997	0.0000%	0.8343%	0.8343%
55	Jackson County Schools	-	2,717,521	2,717,521	0.0000%	0.2651%	0.2651%
56	Jefferson County Schools	-	200,361,041	200,361,041	0.0000%	19.5493%	19.5493%
57	Jessamine County Schools	-	12,385,153	12,385,153	0.0000%	1.2084%	1.2084%
58	Johnson County Schools	-	4,638,420	4,638,420	0.0000%	0.4526%	0.4526%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
59	Kenton County Schools	-	20,179,616	20,179,616	0.0000%	1.9689%	1.9689%
60	Knott Counts Schools	-	3,038,954	3,038,954	0.0000%	0.2965%	0.2965%
61	Knox County Schools	-	5,477,321	5,477,321	0.0000%	0.5344%	0.5344%
62	Larue County Schools	-	3,265,788	3,265,788	0.0000%	0.3186%	0.3186%
63	Laurel County Schools	-	11,883,582	11,883,582	0.0000%	1.1595%	1.1595%
64	Lawrence County Schools	-	3,594,858	3,594,858	0.0000%	0.3507%	0.3507%
65	Lee County Schools	-	1,006,787	1,006,787	0.0000%	0.0982%	0.0982%
66	Leslie County Schools	-	1,967,708	1,967,708	0.0000%	0.1920%	0.1920%
67	Letcher County Schools	-	3,998,592	3,998,592	0.0000%	0.3901%	0.3901%
68	Lewis County Schools	-	2,672,236	2,672,236	0.0000%	0.2607%	0.2607%
69	Lincoln County Schools	-	3,128,506	3,128,506	0.0000%	0.3052%	0.3052%
70	Livingston County Schools	-	1,612,534	1,612,534	0.0000%	0.1573%	0.1573%
71	Logan County Schools	-	4,381,785	4,381,785	0.0000%	0.4275%	0.4275%
72	Lyon County Schools	-	1,243,140	1,243,140	0.0000%	0.1213%	0.1213%
73	Madison County Schools	-	14,389,874	14,389,874	0.0000%	1.4040%	1.4040%
74	Magoffin County Schools	-	2,165,489	2,165,489	0.0000%	0.2113%	0.2113%
75	Marion County Schools	-	4,685,066	4,685,066	0.0000%	0.4571%	0.4571%
76	Marshall County Schools	-	7,006,805	7,006,805	0.0000%	0.6836%	0.6836%
77	Martin County Schools	-	1,792,830	1,792,830	0.0000%	0.1749%	0.1749%
78	Mason County Schools	-	3,458,896	3,458,896	0.0000%	0.3375%	0.3375%
79	McCracken County Schools	-	10,333,659	10,333,659	0.0000%	1.0082%	1.0082%
80	McCreary County Schools	-	3,610,029	3,610,029	0.0000%	0.3522%	0.3522%
81	McLean County Schools	-	2,087,677	2,087,677	0.0000%	0.2037%	0.2037%
82	Meade County Schools	-	5,708,165	5,708,165	0.0000%	0.5569%	0.5569%
83	Menifee County Schools	-	1,462,296	1,462,296	0.0000%	0.1427%	0.1427%
84	Mercer County Schools	-	3,918,533	3,918,533	0.0000%	0.3823%	0.3823%
85	Metcalf County Schools	-	1,694,168	1,694,168	0.0000%	0.1653%	0.1653%
86	Monroe County Schools	-	2,552,626	2,552,626	0.0000%	0.2491%	0.2491%
87	Montgomery County Schools	-	5,148,268	5,148,268	0.0000%	0.5023%	0.5023%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
88	Morgan County Schools	-	2,285,627	2,285,627	0.0000%	0.2230%	0.2230%
89	Muhlenberg County Schools	-	5,259,757	5,259,757	0.0000%	0.5132%	0.5132%
90	Nelson County Schools	-	6,856,051	6,856,051	0.0000%	0.6689%	0.6689%
91	Nicholas County Schools	-	1,090,046	1,090,046	0.0000%	0.1064%	0.1064%
92	Ohio County Schools	-	4,330,699	4,330,699	0.0000%	0.4225%	0.4225%
93	Oldham County Schools	-	17,735,378	17,735,378	0.0000%	1.7304%	1.7304%
94	Owen County Schools	-	2,334,270	2,334,270	0.0000%	0.2278%	0.2278%
95	Owsley County Schools	-	896,134	896,134	0.0000%	0.0874%	0.0874%
96	Pendleton County Schools	-	2,819,686	2,819,686	0.0000%	0.2751%	0.2751%
97	Perry County Schools	-	4,673,291	4,673,291	0.0000%	0.4560%	0.4560%
98	Pike County Schools	-	9,690,965	9,690,965	0.0000%	0.9455%	0.9455%
99	Powell County Schools	-	2,672,114	2,672,114	0.0000%	0.2607%	0.2607%
100	Pulaski County Schools	-	10,231,947	10,231,947	0.0000%	0.9983%	0.9983%
101	Robertson County Schools	-	516,563	516,563	0.0000%	0.0504%	0.0504%
102	Rockcastle County Schools	-	3,758,462	3,758,462	0.0000%	0.3667%	0.3667%
103	Rowan County Schools	-	4,047,998	4,047,998	0.0000%	0.3950%	0.3950%
104	Russell County Schools	-	3,944,806	3,944,806	0.0000%	0.3849%	0.3849%
105	Scott County Schools	-	12,961,874	12,961,874	0.0000%	1.2647%	1.2647%
106	Shelby County Schools	-	10,129,071	10,129,071	0.0000%	0.9883%	0.9883%
107	Simpson County Schools	-	4,209,511	4,209,511	0.0000%	0.4107%	0.4107%
108	Spencer County Schools	-	4,289,656	4,289,656	0.0000%	0.4185%	0.4185%
109	Taylor County Schools	-	3,610,826	3,610,826	0.0000%	0.3523%	0.3523%
110	Todd County Schools	-	2,456,770	2,456,770	0.0000%	0.2397%	0.2397%
111	Trigg County Schools	-	2,736,360	2,736,360	0.0000%	0.2670%	0.2670%
112	Trimble County Schools	-	1,412,269	1,412,269	0.0000%	0.1378%	0.1378%
113	Union County Schools	-	2,927,404	2,927,404	0.0000%	0.2856%	0.2856%
114	Warren County Schools	-	22,968,295	22,968,295	0.0000%	2.2410%	2.2410%
115	Washington County Schools	-	2,446,989	2,446,989	0.0000%	0.2387%	0.2387%
116	Wayne County Schools	-	3,741,247	3,741,247	0.0000%	0.3650%	0.3650%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
117	Webster County Schools	-	2,764,223	2,764,223	0.0000%	0.2697%	0.2697%
118	Whitley County Schools	-	5,269,754	5,269,754	0.0000%	0.5142%	0.5142%
119	Wolfe County Schools	-	1,855,845	1,855,845	0.0000%	0.1811%	0.1811%
120	Woodford County Schools	-	5,692,400	5,692,400	0.0000%	0.5554%	0.5554%
122	Anchorage City Schools	-	1,215,146	1,215,146	0.0000%	0.1186%	0.1186%
124	Ashland City Schools	-	4,253,313	4,253,313	0.0000%	0.4150%	0.4150%
125	Augusta City Schools	-	475,109	475,109	0.0000%	0.0464%	0.0464%
126	Barbourville City Schools	-	856,979	856,979	0.0000%	0.0836%	0.0836%
127	Bardstown City Schools	-	4,553,811	4,553,811	0.0000%	0.4443%	0.4443%
128	Beechwood Independent Schools	-	2,068,493	2,068,493	0.0000%	0.2018%	0.2018%
129	Bellevue City Schools	-	1,125,426	1,125,426	0.0000%	0.1098%	0.1098%
131	Berea City Schools	-	1,883,345	1,883,345	0.0000%	0.1838%	0.1838%
134	Bowling Green City Schools	-	6,022,744	6,022,744	0.0000%	0.5876%	0.5876%
136	Burgin City Schools	-	857,162	857,162	0.0000%	0.0836%	0.0836%
140	Campbellsville City Schools	-	1,743,114	1,743,114	0.0000%	0.1701%	0.1701%
144	Caverna City Schools	-	1,100,730	1,100,730	0.0000%	0.1074%	0.1074%
147	Cloverport City Schools	-	418,770	418,770	0.0000%	0.0409%	0.0409%
150	Corbin City Schools	-	4,029,697	4,029,697	0.0000%	0.3932%	0.3932%
151	Covington City Schools	-	5,849,240	5,849,240	0.0000%	0.5707%	0.5707%
154	Danville City Schools	-	3,265,267	3,265,267	0.0000%	0.3186%	0.3186%
155	Dawson Springs City Schools	-	877,354	877,354	0.0000%	0.0856%	0.0856%
156	Dayton City Schools	-	1,469,016	1,469,016	0.0000%	0.1433%	0.1433%
158	East Bernstadt City Schools	-	736,513	736,513	0.0000%	0.0719%	0.0719%
160	Elizabethtown City Schools	-	3,494,119	3,494,119	0.0000%	0.3409%	0.3409%
161	Eminence Independent Schools	-	1,275,986	1,275,986	0.0000%	0.1245%	0.1245%
162	Erlanger-Elsmere City Schools	-	3,746,304	3,746,304	0.0000%	0.3655%	0.3655%
163	Fairview Independent Schools	-	854,353	854,353	0.0000%	0.0834%	0.0834%
166	Fort Thomas Independent Schools	-	4,925,909	4,925,909	0.0000%	0.4806%	0.4806%
167	Frankfort City Schools	-	1,360,012	1,360,012	0.0000%	0.1327%	0.1327%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
170	Fulton City Schools	-	694,913	694,913	0.0000%	0.0678%	0.0678%
173	Glasgow City Schools	-	3,457,676	3,457,676	0.0000%	0.3374%	0.3374%
180	Harlan City Schools	-	1,003,476	1,003,476	0.0000%	0.0979%	0.0979%
182	Hazard Independent Schools	-	1,424,889	1,424,889	0.0000%	0.1390%	0.1390%
190	Jackson City Schools	-	399,692	399,692	0.0000%	0.0390%	0.0390%
191	Jenkins City Schools	-	638,481	638,481	0.0000%	0.0623%	0.0623%
206	Ludlow City Schools	-	1,451,104	1,451,104	0.0000%	0.1416%	0.1416%
210	Mayfield City Schools	-	2,409,230	2,409,230	0.0000%	0.2351%	0.2351%
214	Middlesboro City Schools	-	1,432,744	1,432,744	0.0000%	0.1398%	0.1398%
221	Murray City Schools	-	2,581,237	2,581,237	0.0000%	0.2518%	0.2518%
222	Newport City Schools	-	2,750,448	2,750,448	0.0000%	0.2684%	0.2684%
224	Owensboro City Schools	-	7,998,409	7,998,409	0.0000%	0.7804%	0.7804%
226	Paducah City Schools	-	4,801,408	4,801,408	0.0000%	0.4685%	0.4685%
227	Paintsville City Schools	-	1,252,665	1,252,665	0.0000%	0.1222%	0.1222%
228	Paris City Schools	-	1,068,857	1,068,857	0.0000%	0.1043%	0.1043%
230	Pikeville City Schools	-	2,141,571	2,141,571	0.0000%	0.2089%	0.2089%
231	Pineville City Schools	-	744,465	744,465	0.0000%	0.0726%	0.0726%
235	Raceland City Schools	-	1,490,044	1,490,044	0.0000%	0.1454%	0.1454%
238	Russell City Schools	-	3,189,857	3,189,857	0.0000%	0.3112%	0.3112%
239	Russellville City Schools	-	1,348,171	1,348,171	0.0000%	0.1315%	0.1315%
240	Science Hill City Schools	-	636,745	636,745	0.0000%	0.0621%	0.0621%
246	Somerset City Schools	-	2,322,904	2,322,904	0.0000%	0.2266%	0.2266%
247	Southgate City Schools	-	383,190	383,190	0.0000%	0.0374%	0.0374%
258	Walton-Verona Independent Schools	-	2,804,080	2,804,080	0.0000%	0.2736%	0.2736%
260	Williamsburg City Schools	-	1,014,915	1,014,915	0.0000%	0.0990%	0.0990%
261	Williamstown City Schools	-	1,113,886	1,113,886	0.0000%	0.1087%	0.1087%
870	Ohio Valley Educational Cooperative	-	791,257	791,257	0.0000%	0.0772%	0.0772%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
871	West Kentucky Educational Cooperative	-	287,763	287,763	0.0000%	0.0281%	0.0281%
872	Southeast South-Central Educational Cooperative	-	82,499	82,499	0.0000%	0.0080%	0.0080%
890	Green River Regional Educational Cooperative	-	466,597	466,597	0.0000%	0.0455%	0.0455%
891	Central KY Special Education Cooperative	-	132,719	132,719	0.0000%	0.0129%	0.0129%
892	KY Valley Educational Cooperative	-	50,323	50,323	0.0000%	0.0049%	0.0049%
894	KY Educational Development Corporation	-	872,001	872,001	0.0000%	0.0851%	0.0851%
895	Northern KY Cooperative for Educational Services	-	603,806	603,806	0.0000%	0.0589%	0.0589%
		\$ -	\$ 1,002,794,542	1,002,794,542	0.0000%	97.8410%	97.8410%
	Total Non-University Contributions	<u>9,050,079</u>	<u>1,015,875,165</u>	<u>1,024,925,244</u>	<u>0.8828%</u>	<u>99.1172%</u>	<u>100.0000%</u>



Schedule B – Schedule of Pension Amounts by Employer as of and for the fiscal year ended June 30, 2023

Code	Employer	Deferred Outflows of Resources							
		June 30, 2023			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability					
	University Employers								
263	Eastern Kentucky University	\$ 105,499,161	\$ 117,343,515	\$ 222,842,676	\$ (1,292,519)	\$ 5,081,686	\$ 2,632,402	\$ 7,284,517	\$ 13,706,086
266	Kentucky State University	22,924,680	25,498,427	48,423,107	(280,861)	1,104,237	572,014	181,045	1,576,435
269	Morehead State University	54,980,020	61,152,605	116,132,625	(673,586)	2,648,279	1,371,855	3,352,289	6,698,837
270	Murray State University	57,677,238	64,152,639	121,829,877	(706,631)	2,778,199	1,439,155	3,375,439	6,886,162
273	Western Kentucky University	84,031,212	93,465,374	177,496,586	(1,029,505)	4,047,618	2,096,736	6,441,313	11,556,162
500	KCTCS Central Office - University	28,175,124	31,338,339	59,513,463	(345,187)	1,357,140	703,022	1,212,234	2,927,209
	Total University	\$ 353,287,435	\$ 392,950,899	\$ 746,238,334	\$ (4,328,289)	\$ 17,017,159	\$ 8,815,184	\$ 21,846,837	\$ 43,350,891

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
	University Employers										
263	Eastern Kentucky University	\$ -	\$ -	\$ -	\$ 4,869,814	\$ 4,869,814	\$ 12,052,112	\$ 13,405,199	\$ 25,457,311	\$ 218,436	\$ 25,675,747
266	Kentucky State University	-	-	-	2,325,050	2,325,050	2,618,891	2,912,913	5,531,804	(549,701)	4,982,103
269	Morehead State University	-	-	-	2,601,154	2,601,154	6,280,859	6,986,009	13,266,868	(835,563)	12,431,305
270	Murray State University	-	-	-	1,960,800	1,960,800	6,588,986	7,328,730	13,917,716	(1,026,264)	12,891,452
273	Western Kentucky University	-	-	-	6,595,706	6,595,706	9,599,637	10,677,385	20,277,022	(5,717,354)	14,559,668
500	KCTCS Central Office - University	-	-	-	1,684,532	1,684,532	3,218,696	3,580,059	6,798,755	(813,864)	5,984,891
	Total University	\$ -	\$ -	\$ -	\$ 20,037,056	\$ 20,037,056	\$ 40,359,181	\$ 44,890,295	\$ 85,249,476	\$ (8,724,310)	\$ 76,525,166



Schedule B (continued)

Code	Employer	Deferred Outflows of Resources							
		June 30, 2023			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability					
	Non-University Employers								
801	KY High School Athletic Association	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 3,488	\$ 3,488
805	KY School Boards Association	3,170,814	4,582,848	7,753,662	63,395	146,728	85,945	946,980	1,243,048
806	KY Education Association	416,437	601,823	1,018,260	8,326	19,270	11,287	90,574	129,457
807	KY Academic Association	225,087	325,448	550,535	4,500	10,416	6,101	30,965	51,982
809	Jefferson County Teachers' Association	124,045	179,252	303,297	2,480	5,740	3,362	26,308	37,890
	Total - Other Employers	\$ 3,936,383	\$ 5,689,371	\$ 9,625,754	\$ 78,701	\$ 182,154	\$ 106,695	\$ 1,098,315	\$ 1,465,865

CodeEmployer		Deferred Inflows of Resources									
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	
										Total Pension Expense	
	Non-University Employers										
801	KY High School Athletic Association	\$ -	\$ -	\$ -	\$ 514,017	\$ 514,017	\$ -	\$ -	\$ -	\$ (401,863)	\$ (401,863)
805	KY School Boards Association	-	-	-	433,888	433,888	421,163	608,717	1,029,880	(80,930)	948,950
806	KY Education Association	-	-	-	58,402	58,402	55,313	79,937	135,250	(1,385)	133,865
807	KY Academic Association	-	-	-	37,928	37,928	29,897	43,228	73,125	(10,357)	62,768
809	Jefferson County Teachers' Association	-	-	-	16,267	16,267	16,476	23,809	40,285	(412)	39,873
	Total - Other Employers	\$ -	\$ -	\$ -	\$ 1,060,502	\$ 1,060,502	\$ 522,849	\$ 755,691	\$ 1,278,540	\$ (494,947)	\$ 783,593



Schedule B (continued)

Code	Employer	June 30, 2023			Deferred Outflows of Resources				
		Employer's	State's	Total	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Net Pension Liability					
	State Agencies								
301	Technical Education District - Madisonville	\$ 12,475,208	\$ 18,031,161	\$ 30,506,369	\$ 249,420	\$ 577,284	\$ 338,139	\$ 2,550,849	\$ 3,715,692
302	Technical Education District - Bowling Green	12,813,094	18,519,674	31,332,768	256,175	592,920	347,297	2,908,410	4,104,802
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-
304	Technical Education District - Frankfort	9,446,330	13,653,295	23,099,625	188,863	437,124	256,042	1,954,606	2,836,635
305	Technical Education District - Hazard	11,784,271	17,032,668	28,816,939	235,606	545,311	319,411	2,847,277	3,947,605
308	Adult Education - Workforce Investment	84,685	122,511	207,196	1,693	3,919	2,295	-	7,907
316	Office of Career and Technical Education	5,251,123	7,589,575	12,840,698	104,987	242,993	142,331	1,509,683	1,999,994
318	Department for Vocational Rehabilitation	30,982,954	44,781,593	75,764,547	619,450	1,433,721	839,789	10,584,553	13,477,513
320	School for the Blind	1,302,813	1,882,996	3,185,809	26,047	60,287	35,313	-	121,647
330	School for the Deaf	6,406,547	9,259,922	15,666,469	128,088	296,460	173,649	2,889,355	3,487,552
345	Department of Education	38,174,325	55,175,640	93,349,965	763,229	1,766,498	1,034,710	10,267,448	13,831,885
400	KCTCS Central Office	17,797,725	25,723,993	43,521,718	355,835	823,581	482,405	2,741,126	4,402,947
728	Department of Corrections	-	-	-	-	-	-	-	-
	Total - State Agencies	\$ 146,519,075	\$ 211,773,028	\$ 358,292,103	\$ 2,929,393	\$ 6,780,098	\$ 3,971,381	\$ 38,253,307	\$ 51,934,179



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
	State Agencies										
301	Technical Education District - Madisonville	\$ -	\$ -	\$ -	\$ 1,761,888	\$ 1,761,888	\$ 1,657,020	\$ 2,394,989	\$ 4,052,009	\$ (608,330)	\$ 3,443,679
302	Technical Education District - Bowling Green	-	-	-	2,209,184	2,209,184	1,701,899	2,459,876	4,161,775	(400,755)	3,761,020
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-	-	-
304	Technical Education District - Frankfort	-	-	-	1,679,282	1,679,282	1,254,709	1,813,499	3,068,208	(377,242)	2,690,966
305	Technical Education District - Hazard	-	-	-	2,150,289	2,150,289	1,565,246	2,262,364	3,827,610	(525,645)	3,301,965
308	Adult Education - Workforce Investment	-	-	-	238,950	238,950	11,248	16,273	27,521	(168,797)	(141,276)
316	Office of Career and Technical Education	-	-	-	664,106	664,106	697,481	1,008,085	1,705,566	335,281	2,040,847
318	Department for Vocational Rehabilitation	-	-	-	2,858,011	2,858,011	4,115,311	5,948,115	10,063,426	1,881,651	11,945,077
320	School for the Blind	-	-	-	2,060,002	2,060,002	173,046	250,109	423,155	(1,132,516)	(709,361)
330	School for the Deaf	-	-	-	1,057,884	1,057,884	850,950	1,229,949	2,080,899	72,677	2,153,576
345	Department of Education	-	-	-	3,495,793	3,495,793	5,070,505	7,328,704	12,399,209	1,404,423	13,803,632
345	KCTCS Central Office	-	-	-	5,203,513	5,203,513	2,363,983	3,416,789	5,780,772	(3,677,874)	2,102,898
345	Department of Corrections	-	-	-	56,267	56,267	-	-	-	(36,988)	(36,988)
	Total - State Agencies	\$ -	\$ -	\$ -	\$ 23,435,169	\$ 23,435,169	\$ 19,461,398	\$ 28,128,752	\$ 47,590,150	\$ (3,234,115)	\$ 44,356,035



Schedule B (continued)

Code	Employer	June 30, 2023			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of	Total Deferred Outflows of Resources
	Local School Districts and Educational Cooperatives								
1	Adair County Schools	\$ -	\$ 56,505,886	\$ 56,505,886					
2	Allen County Schools	-	61,750,705	61,750,705					
3	Anderson County Schools	-	85,584,035	85,584,035					
4	Ballard County Schools	-	23,654,590	23,654,590					
5	Barren County Schools	-	108,700,017	108,700,017					
6	Bath County Schools	-	38,898,829	38,898,829					
7	Bell County Schools	-	41,105,568	41,105,568					
8	Boone County Schools	-	560,535,650	560,535,650					
9	Bourbon County Schools	-	58,624,533	58,624,533					
10	Boyd County Schools	-	81,080,249	81,080,249					
11	Boyle County Schools	-	79,304,940	79,304,940					
12	Bracken County Schools	-	26,884,189	26,884,189					
13	Breathitt County Schools	-	37,228,823	37,228,823					
14	Breckinridge County Schools	-	55,313,657	55,313,657					
15	Bullitt County Schools	-	305,774,569	305,774,569					
16	Butler County Schools	-	44,642,724	44,642,724					
17	Caldwell County Schools	-	34,409,015	34,409,015					
18	Calloway County Schools	-	68,842,055	68,842,055					
19	Campbell County Schools	-	124,877,490	124,877,490					
20	Carlisle County Schools	-	16,028,551	16,028,551					
21	Carroll County Schools	-	45,973,992	45,973,992					
22	Carter County Schools	-	85,690,529	85,690,529					
23	Casey County Schools	-	41,269,314	41,269,314					
24	Christian County Schools	-	157,335,864	157,335,864					
25	Clark County Schools	-	124,435,836	124,435,836					
26	Clay County Schools	-	64,060,360	64,060,360					
27	Clinton County Schools	-	29,897,902	29,897,902					
28	Crittenden County Schools	-	28,155,820	28,155,820					
29	Cumberland County Schools	-	18,249,262	18,249,262					
30	Daviess County Schools	-	270,919,811	270,919,811					
31	Edmonson County Schools	-	40,312,907	40,312,907					
32	Elliott County Schools	-	22,263,003	22,263,003					
33	Estill County Schools	-	47,972,172	47,972,172					
34	Fayette County Schools	-	1,405,950,939	1,405,950,939					
35	Fleming County Schools	-	48,171,360	48,171,360					
36	Floyd County Schools	-	101,527,049	101,527,049					
37	Franklin County Schools	-	160,279,376	160,279,376					
38	Fulton County Schools	-	12,942,592	12,942,592					
39	Gallatin County Schools	-	31,881,599	31,881,599					
40	Garrard County Schools	-	56,636,576	56,636,576					



Schedule B (continued)

Code	Employer	June 30, 2023			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of	Total Deferred Outflows of Resources
41	Grant County Schools	-	74,619,347	74,619,347					
42	Graves County Schools	-	89,604,420	89,604,420					
43	Grayson County Schools	-	76,346,093	76,346,093					
44	Green County Schools	-	39,506,615	39,506,615					
45	Greenup County Schools	-	62,347,756	62,347,756					
46	Hancock County Schools	-	39,965,650	39,965,650					
47	Hardin County Schools	-	346,264,513	346,264,513					
48	Harlan County Schools	-	69,005,460	69,005,460					
49	Harrison County Schools	-	64,201,785	64,201,785					
50	Hart County Schools	-	56,144,486	56,144,486					
51	Henderson County Schools	-	160,343,102	160,343,102					
52	Henry County Schools	-	47,308,668	47,308,668					
53	Hickman County Schools	-	18,587,830	18,587,830					
54	Hopkins County Schools	-	142,158,248	142,158,248					
55	Jackson County Schools	-	45,178,094	45,178,094					
56	Jefferson County Schools	-	3,330,955,394	3,330,955,394					
57	Jessamine County Schools	-	205,900,317	205,900,317					
58	Johnson County Schools	-	77,112,684	77,112,684					
59	Kenton County Schools	-	335,481,462	335,481,462					
60	Knott County Schools	-	50,521,910	50,521,910					
61	Knox County Schools	-	91,059,222	91,059,222					
62	Larue County Schools	-	54,293,013	54,293,013					
63	Laurel County Schools	-	197,561,701	197,561,701					
64	Lawrence County Schools	-	59,763,600	59,763,600					
65	Lee County Schools	-	16,737,550	16,737,550					
66	Leslie County Schools	-	32,712,768	32,712,768					
67	Letcher County Schools	-	66,475,659	66,475,659					
68	Lewis County Schools	-	44,425,304	44,425,304					
69	Lincoln County Schools	-	52,010,619	52,010,619					
70	Livingston County Schools	-	26,808,024	26,808,024					
71	Logan County Schools	-	72,846,083	72,846,083					
72	Lyon County Schools	-	20,666,946	20,666,946					
73	Madison County Schools	-	239,228,369	239,228,369					
74	Magoffin County Schools	-	36,000,812	36,000,812					
75	Marion County Schools	-	77,888,136	77,888,136					
76	Marshall County Schools	-	116,486,564	116,486,564					
77	Martin County Schools	-	29,805,379	29,805,379					
78	Mason County Schools	-	57,503,357	57,503,357					
79	McCracken County Schools	-	171,794,599	171,794,599					
80	McCreary County Schools	-	60,015,949	60,015,949					



Schedule B (continued)

Code	Employer	June 30, 2023			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
81	McLean County Schools	-	34,707,200	34,707,200					
82	Meade County Schools	-	94,896,949	94,896,949					
83	Menifee County Schools	-	24,310,256	24,310,256					
84	Mercer County Schools	-	65,144,731	65,144,731					
85	Metcalfe County Schools	-	28,165,191	28,165,191					
86	Monroe County Schools	-	42,436,836	42,436,836					
87	Montgomery County Schools	-	85,588,806	85,588,806					
88	Morgan County Schools	-	37,997,969	37,997,969					
89	Muhlenberg County Schools	-	87,442,153	87,442,153					
90	Nelson County Schools	-	113,980,277	113,980,277					
91	Nicholas County Schools	-	18,121,810	18,121,810					
92	Ohio County Schools	-	71,996,852	71,996,852					
93	Oldham County Schools	-	294,846,515	294,846,515					
94	Owen County Schools	-	38,806,647	38,806,647					
95	Owsley County Schools	-	14,898,004	14,898,004					
96	Pendleton County Schools	-	46,876,555	46,876,555					
97	Perry County Schools	-	77,692,356	77,692,356					
98	Pike County Schools	-	161,110,034	161,110,034					
99	Powell County Schools	-	44,423,260	44,423,260					
100	Pulaski County Schools	-	170,103,805	170,103,805					
101	Robertson County Schools	-	8,587,728	8,587,728					
102	Rockcastle County Schools	-	62,483,558	62,483,558					
103	Rowan County Schools	-	67,296,945	67,296,945					
104	Russell County Schools	-	65,581,445	65,581,445					
105	Scott County Schools	-	215,488,072	215,488,072					
106	Shelby County Schools	-	168,393,416	168,393,416					
107	Simpson County Schools	-	69,982,144	69,982,144					
108	Spencer County Schools	-	71,314,605	71,314,605					
109	Taylor County Schools	-	60,029,070	60,029,070					
110	Todd County Schools	-	40,843,165	40,843,165					
111	Trigg County Schools	-	45,491,273	45,491,273					
112	Trimble County Schools	-	23,478,575	23,478,575					
113	Union County Schools	-	48,667,369	48,667,369					
114	Warren County Schools	-	381,842,584	381,842,584					
115	Washington County Schools	-	40,680,612	40,680,612					
116	Wayne County Schools	-	62,197,300	62,197,300					
117	Webster County Schools	-	45,954,567	45,954,567					
118	Whitley County Schools	-	87,608,455	87,608,455					
119	Wolfe County Schools	-	30,852,946	30,852,946					
120	Woodford County Schools	-	94,634,886	94,634,886					



Schedule B (continued)

Code	Employer	June 30, 2023			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of	Total Deferred Outflows of Resources
122	Anchorage City Schools	-	20,201,437	20,201,437					
124	Ashland City Schools	-	70,710,397	70,710,397					
125	Augusta City Schools	-	7,898,495	7,898,495					
126	Barbourville City Schools	-	14,247,109	14,247,109					
127	Bardstown City Schools	-	75,706,103	75,706,103					
128	Beechwood Independent Schools	-	34,388,227	34,388,227					
129	Bellevue City Schools	-	18,710,001	18,710,001					
131	Berea City Schools	-	31,310,106	31,310,106					
134	Bowling Green City Schools	-	100,126,773	100,126,773					
136	Burgin City Schools	-	14,250,176	14,250,176					
140	Campbellsville City Schools	-	28,978,811	28,978,811					
144	Caverna City Schools	-	18,299,358	18,299,358					
147	Cloverport City Schools	-	6,962,023	6,962,023					
150	Corbin City Schools	-	66,992,797	66,992,797					
151	Covington City Schools	-	97,242,216	97,242,216					
154	Danville City Schools	-	54,284,323	54,284,323					
155	Dawson Springs City Schools	-	14,585,847	14,585,847					
156	Dayton City Schools	-	24,422,033	24,422,033					
158	East Bernstadt City Schools	-	12,244,328	12,244,328					
160	Elizabethtown City Schools	-	58,088,993	58,088,993					
161	Eminence Independent Schools	-	21,213,051	21,213,051					
162	Erlanger-Elsmere City Schools	-	62,281,474	62,281,474					
163	Fairview Independent Schools	-	14,203,488	14,203,488					
166	Fort Thomas Independent Schools	-	81,892,164	81,892,164					
167	Frankfort City Schools	-	22,609,920	22,609,920					
170	Fulton City Schools	-	11,552,709	11,552,709					
173	Glasgow City Schools	-	57,483,081	57,483,081					
180	Harlan City Schools	-	16,682,513	16,682,513					
182	Hazard Independent Schools	-	23,688,498	23,688,498					
190	Jackson City Schools	-	6,644,754	6,644,754					
191	Jenkins City Schools	-	10,614,534	10,614,534					
206	Ludlow City Schools	-	24,124,188	24,124,188					
210	Mayfield City Schools	-	40,052,890	40,052,890					
214	Middlesboro City Schools	-	23,819,017	23,819,017					
221	Murray City Schools	-	42,912,399	42,912,399					
222	Newport City Schools	-	45,725,561	45,725,561					
224	Owensboro City Schools	-	132,971,764	132,971,764					
226	Paducah City Schools	-	79,822,249	79,822,249					
227	Paintsville City Schools	-	20,825,240	20,825,240					
228	Paris City Schools	-	17,769,440	17,769,440					



Schedule B (continued)

Code	Employer	Deferred Outflows of Resources							
		June 30, 2023			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability					
230	Pikeville City Schools	-	35,603,118	35,603,118					
231	Pineville City Schools	-	12,376,552	12,376,552					
235	Raceland City Schools	-	24,771,676	24,771,676					
238	Russell City Schools	-	53,030,583	53,030,583					
239	Russellville City Schools	-	22,412,947	22,412,947					
240	Science Hill City Schools	-	10,585,738	10,585,738					
246	Somerset City Schools	-	38,617,683	38,617,683					
247	Southgate City Schools	-	6,370,424	6,370,424					
258	Walton-Verona Independent Schools	-	46,617,220	46,617,220					
260	Williamsburg City Schools	-	16,872,670	16,872,670					
261	Williamstown City Schools	-	18,518,140	18,518,140					
870	Ohio Valley Educational Cooperative	-	13,154,388	13,154,388					
871	West Kentucky Educational Cooperative	-	4,783,910	4,783,910					
872	Southeast South-Central Educational Cooperative	-	1,371,481	1,371,481					
890	Green River Regional Educational Cooperative	-	7,757,070	7,757,070					
891	Central KY Special Education Cooperative	-	2,206,399	2,206,399					
892	KY Valley Educational Cooperative	-	836,622	836,622					
894	KY Educational Development Corporation	-	14,496,732	14,496,732					
895	Northern KY Cooperative for Educational Services	-	10,038,100	10,038,100					
	Total - Local School Districts	\$ -	\$ 16,671,224,687	\$ 16,671,224,687					
	Total Non University	\$ 150,455,458	\$ 16,888,687,086	\$ 17,039,142,544	\$ 3,008,094	\$ 6,962,252	\$ 4,078,076	\$ 39,351,622	\$ 53,400,044
	State's Proportionate Share of Outflow s/Inflow s				\$ 332,845,648	\$ 800,443,224	\$ 467,570,676	\$ 39,984,621	\$ 1,640,844,169



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources				Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources			Share of Contributions	Total Pension Expense
	<u>Local School Districts and Educational Cooperatives</u>									
1	Adair County Schools					\$ -	\$ 7,505,394	\$ 7,505,394	\$ -	\$ 7,505,394
2	Allen County Schools					-	8,202,037	8,202,037	-	8,202,037
3	Anderson County Schools					-	11,367,699	11,367,699	-	11,367,699
4	Ballard County Schools					-	3,141,921	3,141,921	-	3,141,921
5	Barren County Schools					-	14,438,080	14,438,080	-	14,438,080
6	Bath County Schools					-	5,166,737	5,166,737	-	5,166,737
7	Bell County Schools					-	5,459,847	5,459,847	-	5,459,847
8	Boone County Schools					-	74,453,147	74,453,147	-	74,453,147
9	Bourbon County Schools					-	7,786,804	7,786,804	-	7,786,804
10	Boyd County Schools					-	10,769,484	10,769,484	-	10,769,484
11	Boyle County Schools					-	10,533,679	10,533,679	-	10,533,679
12	Bracken County Schools					-	3,570,892	3,570,892	-	3,570,892
13	Breathitt County Schools					-	4,944,918	4,944,918	-	4,944,918
14	Breckinridge County Schools					-	7,347,037	7,347,037	-	7,347,037
15	Bullitt County Schools					-	40,614,507	40,614,507	-	40,614,507
16	Butler County Schools					-	5,929,670	5,929,670	-	5,929,670
17	Caldwell County Schools					-	4,570,377	4,570,377	-	4,570,377
18	Calloway County Schools					-	9,143,946	9,143,946	-	9,143,946
19	Campbell County Schools					-	16,586,853	16,586,853	-	16,586,853
20	Carlisle County Schools					-	2,128,992	2,128,992	-	2,128,992
21	Carroll County Schools					-	6,106,495	6,106,495	-	6,106,495
22	Carter County Schools					-	11,381,845	11,381,845	-	11,381,845
23	Casey County Schools					-	5,481,597	5,481,597	-	5,481,597
24	Christian County Schools					-	20,898,136	20,898,136	-	20,898,136
25	Clark County Schools					-	16,528,190	16,528,190	-	16,528,190
26	Clay County Schools					-	8,508,817	8,508,817	-	8,508,817
27	Clinton County Schools					-	3,971,189	3,971,189	-	3,971,189
28	Crittenden County Schools					-	3,739,797	3,739,797	-	3,739,797
29	Cumberland County Schools					-	2,423,958	2,423,958	-	2,423,958
30	Daviess County Schools					-	35,984,924	35,984,924	-	35,984,924
31	Edmonson County Schools					-	5,354,562	5,354,562	-	5,354,562
32	Elliott County Schools					-	2,957,083	2,957,083	-	2,957,083
33	Estill County Schools					-	6,371,904	6,371,904	-	6,371,904
34	Fayette County Schools					-	186,745,433	186,745,433	-	186,745,433
35	Fleming County Schools					-	6,398,361	6,398,361	-	6,398,361
36	Floyd County Schools					-	13,485,330	13,485,330	-	13,485,330
37	Franklin County Schools					-	21,289,108	21,289,108	-	21,289,108
38	Fulton County Schools					-	1,719,100	1,719,100	-	1,719,100
39	Gallatin County Schools					-	4,234,673	4,234,673	-	4,234,673
40	Garrard County Schools					-	7,522,753	7,522,753	-	7,522,753



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
41	Grant County Schools						-	9,911,315	9,911,315	-	9,911,315
42	Graves County Schools						-	11,901,707	11,901,707	-	11,901,707
43	Grayson County Schools						-	10,140,670	10,140,670	-	10,140,670
44	Green County Schools						-	5,247,466	5,247,466	-	5,247,466
45	Greenup County Schools						-	8,281,341	8,281,341	-	8,281,341
46	Hancock County Schools						-	5,308,437	5,308,437	-	5,308,437
47	Hardin County Schools						-	45,992,584	45,992,584	-	45,992,584
48	Harlan County Schools						-	9,165,650	9,165,650	-	9,165,650
49	Harrison County Schools						-	8,527,602	8,527,602	-	8,527,602
50	Hart County Schools						-	7,457,391	7,457,391	-	7,457,391
51	Henderson County Schools						-	21,297,573	21,297,573	-	21,297,573
52	Henry County Schools						-	6,283,774	6,283,774	-	6,283,774
53	Hickman County Schools						-	2,468,929	2,468,929	-	2,468,929
54	Hopkins County Schools						-	18,882,169	18,882,169	-	18,882,169
55	Jackson County Schools						-	6,000,780	6,000,780	-	6,000,780
56	Jefferson County Schools						-	442,434,149	442,434,149	-	442,434,149
57	Jessamine County Schools						-	27,348,710	27,348,710	-	27,348,710
58	Johnson County Schools						-	10,242,492	10,242,492	-	10,242,492
59	Kenton County Schools						-	44,560,325	44,560,325	-	44,560,325
60	Knott County Schools						-	6,710,573	6,710,573	-	6,710,573
61	Knox County Schools						-	12,094,941	12,094,941	-	12,094,941
62	Larue County Schools						-	7,211,469	7,211,469	-	7,211,469
63	Laurel County Schools						-	26,241,133	26,241,133	-	26,241,133
64	Lawrence County Schools						-	7,938,100	7,938,100	-	7,938,100
65	Lee County Schools						-	2,223,165	2,223,165	-	2,223,165
66	Leslie County Schools						-	4,345,073	4,345,073	-	4,345,073
67	Letcher County Schools						-	8,829,629	8,829,629	-	8,829,629
68	Lewis County Schools						-	5,900,791	5,900,791	-	5,900,791
69	Lincoln County Schools						-	6,908,311	6,908,311	-	6,908,311
70	Livingston County Schools						-	3,560,776	3,560,776	-	3,560,776
71	Logan County Schools						-	9,675,781	9,675,781	-	9,675,781
72	Lyon County Schools						-	2,745,087	2,745,087	-	2,745,087
73	Madison County Schools						-	31,775,508	31,775,508	-	31,775,508
74	Maggoffin County Schools						-	4,781,808	4,781,808	-	4,781,808
75	Marion County Schools						-	10,345,492	10,345,492	-	10,345,492
76	Marshall County Schools						-	15,472,328	15,472,328	-	15,472,328
77	Martin County Schools						-	3,958,899	3,958,899	-	3,958,899
78	Mason County Schools						-	7,637,883	7,637,883	-	7,637,883
79	McCracken County Schools						-	22,818,618	22,818,618	-	22,818,618
80	McCreary County Schools						-	7,971,618	7,971,618	-	7,971,618



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
81	McLean County Schools						-	4,609,984	4,609,984	-	4,609,984
82	Meade County Schools						-	12,604,687	12,604,687	-	12,604,687
83	Menifee County Schools						-	3,229,010	3,229,010	-	3,229,010
84	Mercer County Schools						-	8,652,849	8,652,849	-	8,652,849
85	Metcalfe County Schools						-	3,741,042	3,741,042	-	3,741,042
86	Monroe County Schools						-	5,636,673	5,636,673	-	5,636,673
87	Montgomery County Schools						-	11,368,333	11,368,333	-	11,368,333
88	Morgan County Schools						-	5,047,080	5,047,080	-	5,047,080
89	Muhlenberg County Schools						-	11,614,504	11,614,504	-	11,614,504
90	Nelson County Schools						-	15,139,430	15,139,430	-	15,139,430
91	Nicholas County Schools						-	2,407,029	2,407,029	-	2,407,029
92	Ohio County Schools						-	9,562,982	9,562,982	-	9,562,982
93	Oldham County Schools						-	39,162,988	39,162,988	-	39,162,988
94	Owen County Schools						-	5,154,493	5,154,493	-	5,154,493
95	Owsley County Schools						-	1,978,827	1,978,827	-	1,978,827
96	Pendleton County Schools						-	6,226,378	6,226,378	-	6,226,378
97	Perry County Schools						-	10,319,487	10,319,487	-	10,319,487
98	Pike County Schools						-	21,399,440	21,399,440	-	21,399,440
99	Powell County Schools						-	5,900,519	5,900,519	-	5,900,519
100	Pulaski County Schools						-	22,594,038	22,594,038	-	22,594,038
101	Robertson County Schools						-	1,140,665	1,140,665	-	1,140,665
102	Rockcastle County Schools						-	8,299,379	8,299,379	-	8,299,379
103	Rowan County Schools						-	8,938,717	8,938,717	-	8,938,717
104	Russell County Schools						-	8,710,855	8,710,855	-	8,710,855
105	Scott County Schools						-	28,622,203	28,622,203	-	28,622,203
106	Shelby County Schools						-	22,366,855	22,366,855	-	22,366,855
107	Simpson County Schools						-	9,295,378	9,295,378	-	9,295,378
108	Spencer County Schools						-	9,472,362	9,472,362	-	9,472,362
109	Taylor County Schools						-	7,973,361	7,973,361	-	7,973,361
110	Todd County Schools						-	5,424,993	5,424,993	-	5,424,993
111	Trigg County Schools						-	6,042,378	6,042,378	-	6,042,378
112	Trimble County Schools						-	3,118,542	3,118,542	-	3,118,542
113	Union County Schools						-	6,464,243	6,464,243	-	6,464,243
114	Warren County Schools						-	50,718,241	50,718,241	-	50,718,241
115	Washington County Schools						-	5,403,402	5,403,402	-	5,403,402
116	Wayne County Schools						-	8,261,356	8,261,356	-	8,261,356
117	Webster County Schools						-	6,103,915	6,103,915	-	6,103,915
118	Whitley County Schools						-	11,636,593	11,636,593	-	11,636,593
119	Wolfe County Schools						-	4,098,043	4,098,043	-	4,098,043
120	Woodford County Schools						-	12,569,879	12,569,879	-	12,569,879



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
122	Anchorage City Schools						-	2,683,256	2,683,256	-	2,683,256
124	Ashland City Schools						-	9,392,108	9,392,108	-	9,392,108
125	Augusta City Schools						-	1,049,118	1,049,118	-	1,049,118
126	Barbourville City Schools						-	1,892,372	1,892,372	-	1,892,372
127	Bardstow n City Schools						-	10,055,663	10,055,663	-	10,055,663
128	Beechw ood Independent Schools						-	4,567,616	4,567,616	-	4,567,616
129	Bellevue City Schools						-	2,485,156	2,485,156	-	2,485,156
131	Berea City Schools						-	4,158,765	4,158,765	-	4,158,765
134	Bow ling Green City Schools						-	13,299,339	13,299,339	-	13,299,339
136	Burgin City Schools						-	1,892,780	1,892,780	-	1,892,780
140	Campbellsville City Schools						-	3,849,110	3,849,110	-	3,849,110
144	Caverna City Schools						-	2,430,612	2,430,612	-	2,430,612
147	Cloverport City Schools						-	924,731	924,731	-	924,731
150	Corbin City Schools						-	8,898,318	8,898,318	-	8,898,318
151	Covington City Schools						-	12,916,197	12,916,197	-	12,916,197
154	Danville City Schools						-	7,210,315	7,210,315	-	7,210,315
155	Daw son Springs City Schools						-	1,937,365	1,937,365	-	1,937,365
156	Dayton City Schools						-	3,243,856	3,243,856	-	3,243,856
158	East Bernstadt City Schools						-	1,626,353	1,626,353	-	1,626,353
160	Elizabethtown City Schools						-	7,715,670	7,715,670	-	7,715,670
161	Eminence Independent Schools						-	2,817,623	2,817,623	-	2,817,623
162	Erlanger-Elsmere City Schools						-	8,272,537	8,272,537	-	8,272,537
163	Fairview Independent Schools						-	1,886,578	1,886,578	-	1,886,578
166	Fort Thomas Independent Schools						-	10,877,327	10,877,327	-	10,877,327
167	Frankfort City Schools						-	3,003,163	3,003,163	-	3,003,163
170	Fulton City Schools						-	1,534,489	1,534,489	-	1,534,489
173	Glasgow City Schools						-	7,635,190	7,635,190	-	7,635,190
180	Harlan City Schools						-	2,215,855	2,215,855	-	2,215,855
182	Hazard Independent Schools						-	3,146,425	3,146,425	-	3,146,425
190	Jackson City Schools						-	882,590	882,590	-	882,590
191	Jenkins City Schools						-	1,409,875	1,409,875	-	1,409,875
206	Ludlow City Schools						-	3,204,295	3,204,295	-	3,204,295
210	Mayfield City Schools						-	5,320,025	5,320,025	-	5,320,025
214	Middlesboro City Schools						-	3,163,761	3,163,761	-	3,163,761
221	Murray City Schools						-	5,699,839	5,699,839	-	5,699,839
222	New port City Schools						-	6,073,498	6,073,498	-	6,073,498
224	Ow ensboro City Schools						-	17,661,975	17,661,975	-	17,661,975
226	Paducah City Schools						-	10,602,390	10,602,390	-	10,602,390
227	Paintsville City Schools						-	2,766,112	2,766,112	-	2,766,112
228	Paris City Schools						-	2,360,226	2,360,226	-	2,360,226



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
230	Pikeville City Schools						-	4,728,984	4,728,984	-	4,728,984
231	Pineville City Schools						-	1,643,915	1,643,915	-	1,643,915
235	Raceland City Schools						-	3,290,298	3,290,298	-	3,290,298
238	Russell City Schools						-	7,043,787	7,043,787	-	7,043,787
239	Russellville City Schools						-	2,977,000	2,977,000	-	2,977,000
240	Science Hill City Schools						-	1,406,051	1,406,051	-	1,406,051
246	Somerset City Schools						-	5,129,394	5,129,394	-	5,129,394
247	Southgate City Schools						-	846,152	846,152	-	846,152
258	Walton-Verona Independent Schools						-	6,191,932	6,191,932	-	6,191,932
260	Williamsburg City Schools						-	2,241,112	2,241,112	-	2,241,112
261	Williamstown City Schools						-	2,459,672	2,459,672	-	2,459,672
870	Ohio Valley Educational Cooperative						-	1,747,232	1,747,232	-	1,747,232
871	West Kentucky Educational Cooperative						-	635,423	635,423	-	635,423
872	Southeast South-Central Educational Cooperative						-	182,167	182,167	-	182,167
890	Green River Regional Educational Cooperative						-	1,030,333	1,030,333	-	1,030,333
891	Central KY Special Education Cooperative						-	293,065	293,065	-	293,065
892	KY Valley Educational Cooperative						-	111,124	111,124	-	111,124
894	KY Educational Development Corporation						-	1,925,528	1,925,528	-	1,925,528
895	Northern KY Cooperative for Educational Services						-	1,333,311	1,333,311	-	1,333,311
Total - Local School Districts							\$ 0	\$ 2,214,355,409	\$ 2,214,355,409	\$ -	\$ 2,214,355,409
Total Non University		\$ -	\$ -	\$ -	\$ 24,495,671	\$ 24,495,671	\$ 19,984,247	\$ 2,243,239,852	\$ 2,263,224,099	\$ (3,729,062)	\$ 2,259,495,037
State's Proportionate Share of Outflow s/Inflow s		\$ -	\$ -	\$ -	\$ 56,650,355	\$ 56,650,355				\$ 12,453,369	



Schedule C – Schedule of Remaining Deferred Outflows and (Inflows)

CodeEmployer		NPL Sensitivity		Recognition of Existing Deferred Outflows (Inflows) of Resources for Future Plan Years Ending June 30,					
		Less 1% - 6.10% Employer's Proportionate Share of Net Pension Liability	Plus 1% - 8.10% Employer's Proportionate Share of Net Pension Liability						
		2025	2026	2027	2028	2029	Thereafter		
	University Employers								
263	Eastern Kentucky University	\$ 135,690,405	\$ 80,538,368	\$ 4,292,081	\$ (1,533,519)	\$ 6,699,234	\$ (621,524)	\$ -	\$ -
266	Kentucky State University	29,485,155	17,500,768	(353,380)	(1,326,035)	1,101,298	(170,498)	-	-
269	Morehead State University	70,713,938	41,971,908	1,317,010	(603,497)	3,688,360	(304,190)	-	-
270	Murray State University	74,183,034	44,030,972	1,868,788	(442,615)	3,822,939	(323,750)	-	-
273	Western Kentucky University	108,078,862	64,149,673	604,157	(1,317,071)	6,092,748	(419,378)	-	-
500	KCTCS Central Office - University	36,238,146	21,508,972	171,161	(494,520)	1,737,215	(171,179)	-	-
	Total University	\$ 454,389,540	\$ 269,700,661	\$ 7,899,817	\$ (5,717,257)	\$ 23,141,794	\$ (2,010,519)	\$ -	\$ -
	State's Proportionate Share of NPL - University	\$ 505,403,701	\$ 299,979,864	\$ 14,956,484	\$ (1,801,504)	\$ 12,512,529	\$ (3,558,980)	\$ -	\$ -
	Non-University Employers								
801	KY High School Athletic Association	\$ -	\$ -	\$ (421,035)	\$ (89,494)	\$ -	\$ -	\$ -	\$ -
805	KY School Boards Association	4,073,962	2,418,080	191,175	148,096	461,539	8,350	-	-
806	KY Education Association	535,051	317,577	18,294	3,349	49,436	(24)	-	-
807	KY Academic Association	289,199	171,653	662	(6,974)	20,956	(590)	-	-
809	Jefferson County Teachers' Association	159,377	94,597	5,550	1,573	14,527	(27)	-	-
		\$ 5,057,589	\$ 3,001,907	\$ (205,354)	\$ 56,550	\$ 546,458	\$ 7,709	\$ -	\$ -
	State Agencies								
301	Technical Education District - Madisonville	\$ 16,028,540	\$ 9,513,661	\$ 356,420	\$ 165,576	\$ 1,436,862	\$ (5,054)	\$ -	\$ -
302	Technical Education District - Bowling Green	16,462,667	9,771,335	315,931	6,738	1,568,834	4,115	-	-
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-
304	Technical Education District - Frankfort	12,136,942	7,203,822	214,760	(133,554)	1,080,703	(4,556)	-	-
305	Technical Education District - Hazard	15,140,802	8,986,748	228,274	61,218	1,498,476	9,348	-	-
308	Adult Education - Workforce Investment	108,805	64,581	(140,846)	(74,938)	(12,953)	(2,306)	-	-
316	Office of Career and Technical Education	6,746,808	4,004,535	380,398	214,021	730,981	10,488	-	-
318	Department for Vocational Rehabilitation	39,807,875	23,627,767	3,341,793	2,217,987	4,935,566	124,156	-	-
320	School for the Blind	1,673,895	993,532	(917,140)	(550,562)	(413,745)	(56,908)	-	-
330	School for the Deaf	8,231,334	4,885,667	949,426	365,671	1,082,685	31,886	-	-
345	Department of Education	49,047,574	29,111,945	3,456,655	1,734,069	5,091,371	53,997	-	-
400	KCTCS CENTRAL OFFICE	22,867,078	13,572,641	(1,602,136)	(922,459)	1,760,205	(36,176)	-	-
728	Department of Corrections	-	-	(29,522)	(25,219)	(1,386)	(140)	-	-
		\$ 188,252,320	\$ 111,736,234	\$ 6,554,013	\$ 3,058,548	\$ 18,757,599	\$ 128,850	\$ -	\$ -
	State's Proportionate Share of NPL - Non-University	\$ 21,699,116,851	\$ 12,879,403,337	\$ 796,497,329	\$ 65,682,815	\$ 819,331,065	\$ (119,425,924)	\$ -	\$ -



Schedule D – Summary of Main Benefit Provisions

The Teachers' Retirement System of the State of Kentucky was established on July 1, 1940. The valuation took into account amendments to the System effective through June 30, 2023. The following summary describes the main benefit and contribution provisions of the System as interpreted for the valuation.

1 - DEFINITIONS

"Final average salary" means the average of the five highest annual salaries which the member has received for service in a covered position and on which the member has made contributions or on which the public board, institution or agency has picked up the member contributions. For a member who retires after attaining age 55 with 27 years of service, "final average salary" means the average of the three highest annual salaries.

2 - BENEFITS

Service Retirement Allowance

TRS 1 and TRS 2 Members

Condition for Allowance

Completion of 27 years of service or attainment of age 55 and 5 years of service.

Amount of Allowance

The annual retirement allowance for non-university members is equal to:

- (a) 2.0% of final average salary multiplied by service before July 1, 1983, plus
- (b) 2.5% of final average salary multiplied by service after July 1, 1983.
- (c) For individuals who become members of the retirement system on or after July 1, 2002 and have less than 10 years of service at retirement, the retirement allowance is 2.0% of final average salary multiplied by service. If, however, they have 10 or more years, they receive a benefit percentage of 2.5% for all years of service up to 30 years.
- (d) For members retiring on or after July 1, 2004, the retirement allowance formula is 3.0% of final average salary for each year of service credit earned in excess of 30 years.



Schedule D – Summary of Main Benefit Provisions

The annual retirement allowance for university members is equal to 2.0% of final average salary multiplied by all years of service.

For all members, the annual allowance is reduced by 5% per year from the earlier of age 60 or the date the member would have completed 27 years of service.

The minimum annual service allowance for all members is \$440 multiplied by credited service.

TRS 3 Members

Condition for Retirement

Completion of 27 years of service, attainment of age 60 and 5 years of service or attainment of age 55 and 10 years of service.

Amount of Allowance

The annual retirement allowance for non-university members is equal to:

- 1.7% of final average salary if service is 10 years or less.
- 2.0% of final average salary if service is greater than 10 years and no more than 20 years.
- 2.3% of final average salary if service is greater than 20 years but no more than 26 years.
- 2.5% of final average salary if service is greater than 26 years but no more than 30 years.
- 3.0% of final average salary for years of service greater than 30 years.

The annual retirement allowance for university members is equal to:

- 1.5% of final average salary if service is 10 years or less.
- 1.7% of final average salary if service is greater than 10 years and no more than 20 years.
- 1.85% of final average salary if service is greater than 20 years but less than 27 years.
- 2.0% of final average salary if service is greater than or equal to 27 years.

For all members, the annual allowance is reduced by 6% per year from the earlier of age 60 or the date the member would have completed 27 years of service.



Schedule D – Summary of Main Benefit Provisions

TRS 4 Members

Condition for Retirement

Attainment of age 57 and 10 years of service or attainment of age 65 and 5 years of service.

Amount of Allowance

Foundational Benefit

The annual foundational benefit for members is equal to service times a multiplier times final average salary.

The multiplier for non-university members is shown in the following table:

Age	Years of Service			
	5-9.99	10-19.99	20-29.99	30 or more
57-60	-	1.70%	1.95%	2.20%
61	-	1.74%	1.99%	2.24%
62	-	1.78%	2.03%	2.28%
63	-	1.82%	2.07%	2.32%
64	-	1.86%	2.11%	2.36%
65 & over	1.90%	1.90%	2.15%	2.40%

The multiplier for university members is shown in the following table:

Age	Years of Service			
	5-9.99	10-19.99	20-29.99	30 or more
57-60	-	0.70%	0.95%	1.20%
61	-	0.74%	0.99%	1.24%
62	-	0.78%	1.03%	1.28%
63	-	0.82%	1.07%	1.32%
64	-	0.86%	1.11%	1.36%
65 & over	0.90%	0.90%	1.15%	1.40%

The annual foundational benefit is reduced by 6% per year from the earlier of age 60 or the date the member would have completed 30 years of service.

Supplemental Benefit

The annual supplemental benefit is equal to the account balance which includes member and employer contributions and interest credited annually on June 30. Options include annuitizing the balance or receiving the balance as a lump sum either at the time of retirement or at a later date.



Schedule D – Summary of Main Benefit Provisions

Disability Retirement Allowance

Condition for Allowance

For members hired before January 1, 2022, totally and permanently incapable of being employed as a teacher and under 27 years of service but after completing 5 years of service.

Amount of Allowance

The disability allowance is equal to 60% of the member's final average salary. The disability allowance is payable over an entitlement period equal to 25% of the service credited to the member at the date of disability or five years, whichever is longer. After the disability entitlement period has expired and if the member remains disabled, he will be retired under service retirement. The service retirement allowance will be computed with service credit given for the period of disability retirement. The allowance will not be less than \$6,000 per year. The service retirement allowance will not be reduced for commencement of the allowance before age 60 or the completion of 27 years of service.

Benefits Payable on Separation from Service

Any member who ceases to be in service is entitled to receive his contributions with allowable interest. A member who has completed 5 years of creditable service and leaves his contributions with the system may be continued in the membership of the system after separation from service, and file application for service retirement after the attainment of age 60.

Life Insurance

A separate Life Insurance Trust has been created as of June 30, 2000 to pay benefits on behalf of deceased TRS active and retired members.



Schedule D – Summary of Main Benefit Provisions

Death Benefits

A surviving spouse of an active member with less than 10 years of service may elect to receive an annual allowance of \$2,880 except that if income from other sources exceeds \$6,600 per year the annual allowance will be \$2,160.

A surviving spouse of an active member with 10 or more years of service may elect to receive an allowance which is the actuarial equivalent of the allowance the deceased member would have received upon retirement. The allowance will commence on the date the deceased member would have been eligible for service retirement and will be payable during the life of the spouse.

If the deceased member is survived by unmarried children under age 18 the following schedule of annual allowances applies:

<u>Number of Children</u>	<u>Annual Allowance</u>
1	\$ 2,400
2	4,080
3	4,800
4 or more	5,280

The allowances are payable until a child attains age 18, or age 23 if a full-time student.

If the member has no eligible survivor, a refund of his accumulated contributions is payable to his estate.

Options

In lieu of the regular Option 1, a retirement allowance payable in the form of a life annuity with refundable balance, any member before retirement may elect to receive a reduced allowance which is actuarially equivalent to the full allowance, in one of the following forms:

Option 2. A single life annuity payable during the member's lifetime with payments for 10 years certain.

Option 3. At the death of the member his allowance is continued throughout the life of his beneficiary.

Option 3(a). At the death of the beneficiary designated by the member under Option 3, the member's benefit will revert to what would have been paid had he not selected an option.

Option 4. At the death of the member one half of his allowance is continued throughout the life of his beneficiary.

Option 4(a). At the death of the beneficiary designated by the member under Option 4, the member's benefit will revert to what would have been paid had he not selected an option.



Schedule D – Summary of Main Benefit Provisions

Post-Retirement Adjustments

The retirement allowance of each retired member and of each beneficiary shall be increased by 1.50% each July 1.

3 - CONTRIBUTIONS

Member Contributions

- University members other than TRS 4 contribute 7.625% of salary to the retirement system.
- Non-university members other than TRS 4 contribute 9.105% of salary to the retirement system.

- University TRS 4 members contribute 7.00% of salary to the retirement system.
- Non-university TRS 4 members contribute 11.00% of salary to the retirement system.
- 2.00% of each is for the supplemental plan.



Schedule E – Statement of Actuarial Assumptions and Methods

The assumptions and methods used in the valuation were selected based on the actuarial experience study prepared as of June 30, 2020, submitted to, and adopted by the Board on September 20, 2021.

INVESTMENT RATE OF RETURN: 7.10% per annum, compounded annually, including price inflation at 2.50% per annum.

SALARY INCREASES: Representative values of the assumed annual rates of future salary increases are as follows and include wage inflation at 2.75% per annum:

Service	Annual Rate
1	7.50%
2	5.50%
3	5.00%
4	5.00%
5	5.00%
6	4.75%
7	4.50%
8	4.25%
9	4.00%
10	4.00%
11	4.00%
12	3.75%
13	3.50%
14	3.50%
15	3.25%
16	3.25%
>=17	3.00%



Schedule E – Statement of Actuarial Assumptions and Methods

SEPARATIONS FROM SERVICE: Representative values of the assumed annual rates of death, disability, and withdrawal are as follows:

Age	Annual Rates for Males				
	Death*	Disability	Withdrawal		
			Years of Service		
			0 – 4	5 – 9	10+
20	0.030%	0.01%	20.00%		
25	0.017	0.01	11.00	3.25%	
30	0.024	0.01	10.00	3.60	2.80%
35	0.032	0.02	11.00	3.60	1.55
40	0.046	0.07	12.50	4.00	1.25
45	0.074	0.18	11.50	4.00	1.10
50	0.122	0.28	14.25	4.50	1.10
55	0.187	0.40	15.00	6.00	1.25
60	0.291	0.50	15.00	0.00	0.00
62	0.354	0.50	15.00	0.00	0.00
65	0.481	0.50	20.00	0.00	0.00
70	0.774	0.50	20.00	0.00	0.00
75	1.234	0.50	20.00	0.00	0.00

* Base Rates

AGE	Annual Rates for Females				
	Death*	Disability	Withdrawal		
			Years of Service		
			0 – 4	5 – 9	10+
20	0.013%	0.01%	13.00%		
25	0.009	0.01	9.00	4.50%	
30	0.011	0.02	11.00	4.25	1.00%
35	0.017	0.06	11.00	3.50	1.60
40	0.026	0.10	12.50	4.00	1.20
45	0.040	0.24	13.50	4.00	1.00
50	0.062	0.38	15.00	4.50	1.25
55	0.090	0.50	15.00	5.00	1.60
60	0.132	0.60	17.50	0.00	0.00
62	0.158	0.62	17.50	0.00	0.00
65	0.213	0.65	25.00	0.00	0.00
70	0.372	0.65	25.00	0.00	0.00
75	0.696	0.65	25.00	0.00	0.00

* Base Rates



Schedule E – Statement of Actuarial Assumptions and Methods

SEPARATIONS FROM SERVICE: Representative values of the assumed annual rates of retirement, are as follows:

Members Prior to January 1, 2022				
	Annual Rates for Males		Annual Rates for Females	
AGE	Before 27 Years of Service	After 27 Years of Service*	Before 27 Years of Service	After 27 Years of Service**
45		17.0%		17.0%
50		25.0		20.0
55	5.25%	40.0	5.0%	50.0
60	13.50	33.0	15.0	40.0
62	15.00	30.0	15.0	40.0
65	20.00	30.0	25.0	40.0
70	25.00	30.0	30.0	35.0
75	100.00	100.0	100.0	100.0

*Plus 8.5% in year when first eligible for unreduced retirement with 27 years of service

**Plus 10.0% in year when first eligible for unreduced retirement with 27 years of service

Members on and after January 1, 2022						
	Annual Rates for Males			Annual Rates for Females		
AGE	Before 20 Years of Service	20-29 Years of Service	30 or More Years of Service*	Before 20 Years of Service	20-29 Years of Service	30 or More Years of Service*
57	3.0%	5.0%	25.0%	3.0%	5.0%	30.0%
60	8.5	13.5	25.0	10.0	15.0	30.0
62	12.0	15.0	25.0	12.0	15.0	30.0
65	20.0	20.0	25.0	25.0	25.0	30.0
70	25.0	25.0	25.0	30.0	30.0	30.0
75	100.0	100.0	100.0	100.0	100.0	100.0

* Plus 20.0% in the first year attaining 30 years of service; plus 25% at age 65 in the first year attaining 30 years of service



Schedule E – Statement of Actuarial Assumptions and Methods

DEATHS AFTER RETIREMENT: Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality table, projected generationally based on Projection Scale MP-2020, with various set-forwards, set-backs, and adjustments for each of the groups. Below is a summary of the specific mortality tables and adjustments for each of the groups:

<u>Group</u>	<u>Membership Table</u>	<u>Set Forward (+)/ Setback (-)</u>	<u>Adjustment to Rates</u>	<u>Projection Scale</u>
Service Retirees	Teachers Benefit-Weighted	Male: +2 Female: +2	Male: 102%, Female: 98%	75% of MP-2020
Contingent Annuitants	Teachers Benefit-Weighted	Male: +2 Female: None	Male: 101%, Female: 100%	75% of MP-2020
Disabled Retirees	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 96%, Female: 94%	75% of MP-2020
Actives	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 100%, Female: 98%	75% of MP-2020

Representative values of the assumed annual rates of death for service retirees, contingent annuitants, and disability retirees are shown below:

Age	Annual Base Rates of Death For					
	Service Retirees		Contingent Annuitants		Disability Retirees	
	Male	Female	Male	Female	Male	Female
45	0.0836%	0.0568%	0.6020%	0.2620%	1.0646%	0.7755%
50	0.1357	0.0843	0.7545	0.3200	1.6435	1.1910
55	0.2744	0.2215	0.8959	0.4460	2.1130	1.5416
60	0.4427	0.3322	1.1413	0.6220	2.4806	1.7616
65	0.7579	0.5351	1.6443	0.8990	3.0653	1.9834
70	1.4066	0.9682	2.5876	1.3530	3.9485	2.4149
75	2.6816	1.8649	4.1006	2.1510	5.3155	3.2562
80	5.0500	3.5819	6.5630	3.5730	7.6118	4.7705
85	9.4585	6.8071	10.7717	6.3160	11.2109	7.3423
90	16.9116	12.6077	17.7306	11.3290	16.9738	11.1653
95	26.9423	21.5110	26.8670	18.5900	24.2170	15.7356



Schedule E – Statement of Actuarial Assumptions and Methods

ASSETS: Market Value

ADMINISTRATIVE EXPENSE LOAD: 0.32% of payroll

PERCENT MARRIED: 100%, with females 3 years younger than males

PART-TIMERS: Assume 0.25 years of accrual service per year

LOADS: Unused sick leave: 3% of active liability at the time of retirement for members other than TRS 4



Schedule F – Funding Policy

INTRODUCTION

Pursuant to the provisions of KRS 161.250, the Board of Trustees (board) of the Teachers' Retirement System of the State of Kentucky (TRS) is vested with the responsibility for the general administration and management of the retirement system. The board may adopt procedures necessary to conduct the business of the retirement system as needed. The applicable provisions of the Kentucky Revised Statutes shall control if any inconsistency exists between state law and this policy.

The board's policy is to achieve full funding within specific, closed 30-year periods without extending or resetting those periods. The underpinning of this is to request, as a minimum appropriation, amounts consistent with the annual actuarial valuations. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers. This policy, as detailed below for each trust, confirms the board's process for recommending annual appropriations payable and the primary actuarial assumptions and methodologies associated with calculating the annual appropriations. Other related actuarial assumptions and methodologies not listed in this policy are reported in annual valuations, the most recent experience study or resolutions adopted by the board.

Also, the board may provide options for funding the Retirement Annuity Trust that could accelerate the paying of its unfunded liability ahead of the amortization schedule and reduce costs for the state thereafter to the normal cost.

This policy is in keeping with the board's direction for the Investment Committee to continue investing for maximum returns within the parameters of prudent risk.

This policy will be reviewed regularly and amended or revised as necessary.

BACKGROUND

The level of benefits and funding for teachers' pension and health care are mandated in law by the General Assembly. Also, state law requires that the board, as fiduciary, adopt reasonable actuarial assumptions based upon the advice of a qualified independent actuary and other professionals. Additionally, state law mandates that actuarial assumptions be set using rigorous and transparent processes that adhere to recognized actuarial and financial standards. These processes reflect national best practices, including the Government Finance Officers Association's best practice guidelines for valuations, experience studies and actuarial audits.

TRS evaluates actuarial assumptions (demographic and economic) each year during the actuarial valuation. Several other regular reviews are conducted as well. The return assumptions are reviewed annually by the board's Investment Committee as it evaluates asset allocation. Every five years, the actuary conducts an experience investigation and recommends to the board adjustments to assumptions based upon past trends, current behavior and forecasted experience. TRS also conducts an actuarial audit (an audit of the actuary) at least every 10 years to ensure that assumptions are reasonable and appropriately reflect the cost of the plans. In the investment context, TRS conducts an asset liability modeling study at least every five years — and more often if material changes warrant an updated study. The annual valuation determines the additional required employer contribution that is included in TRS's biennial budget requests.



Schedule F – Funding Policy

The amount that the state owes for benefits consists of two components, normal cost and amortization of unfunded liability. The normal cost is included in the statutory payroll contributions made by members, the state and employers. The amortization of the unfunded liability includes the balance of the statutory payroll contributions paid by the state and employers above amounts needed for the normal cost. In addition, TRS requests additional contributions necessary to amortize the unfunded liability. The funding for medical insurance is outlined by statute as a shared responsibility of employees, employers, retirees and the state.

State law requires, and the TRS board uses, a qualified independent actuary that follows the generally accepted actuarial standards of practice. Some factors considered by the actuary include the length of amortization periods; the projected pattern of cash flows; current and projected interest rates and rates of inflation; and historical and projected returns of the funds. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers.

1. Retirement Annuity Trust Appropriations

KRS 161.714 provides that the retirement benefits promised to members of TRS are “an inviolable contract of the Commonwealth.” To satisfy this solemn commitment, the Commonwealth of Kentucky (state) is required to pay annual retirement appropriations necessary to fund the benefit requirements of retirement system members. All employers participating in TRS are responsible for paying the fixed employer contribution rate set forth in state law. However, the state – as plan guarantor – solely is responsible for paying the additional annual retirement appropriations necessary to keep the retirement system actuarially sound and able to satisfy the contract with members to provide promised benefits under KRS 161.550.

Beginning in 2019, the state made its full actuarially determined contribution. Prior to that, from fiscal year 2009 through 2018, the state did not pay the full annual retirement appropriations necessary to prefund the benefit requirements of members of the retirement system. Over this period, primarily because of the failure to fund, the state’s annual retirement appropriations grew.

Fiscal Year	Requested Minimum Additional Payment for Unfunded Liability	Appropriated
2009	\$ 60,499,800	\$ 0
2010	82,331,200	0
2011	121,457,000	0
2012	208,649,000	0
2013	260,980,000	0
2014	299,420,000	0
2015	386,400,000	0
2016	487,400,000	0
2017	520,372,000	498,537,600
2018	512,883,000	474,724,700
2019	553,597,000	553,597,000
2020	538,253,000	538,253,000
2021	551,092,000	551,092,000
2022	579,208,000	

(Source: TRS Report of the Actuary on the Annual Valuation Prepared as of June 30, 2019)



Schedule F – Funding Policy

The board always has acted as required by state law and requested annual retirement appropriations payable by the state that would ensure that the state meets the contractual obligations to members.

Annual Retirement Appropriations Payable by the State

In each biennial budget request, the board will recommend annual retirement appropriations payable by the state to meet the benefit requirements of the members of the retirement system. The annual retirement appropriations payable by the state are the sum of the fixed employer contribution rate set by state law and the additional annual retirement appropriations necessary to fund the benefit requirements of members of the retirement system (KRS 161.550). The recommended additional annual retirement appropriations payable by the state are calculated by the board's actuary based upon the results of an annual valuation preceding the beginning of each biennium (KRS 161.400).

Calculation of Annual Retirement Appropriations Payable by the State

The board will present the actuarially determined annual retirement appropriations payable by the state, which if paid, are the minimum to meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles for calculating the recommended annual retirement appropriations payable by the state:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014 to amortize the unfunded liability. This is calculated by the actuary as the minimum dollar amount for the state to pay each year, and the amount to be provided by the state shall not be less than the prior year's dollar amount until the plan reaches a funded ratio of 100%;
- D. Use a 20-year closed period to amortize new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Accelerated Funding Options

In recognition that the state may want to pay off the unfunded liability earlier than the closed amortization period and thereby reduce its costs long-term, the board may provide options for funding over and above the actuarially required minimum. The board will provide the analytical support showing the impact of each of these on the current costs and the potential savings.



Schedule F – Funding Policy

2. Retiree Health Insurance Trust

State law provides for a retiree medical plan (KRS 161.675). Since July 1, 2010, retired teachers, active teachers, local school boards, universities and the state have paid contributions for funding the retiree medical plan in accordance with the Shared Responsibility Solution contained in HB 540 (2010 RS). The contributions mandated by Shared Responsibility will meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the retiree health insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2011 to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

3. Life Insurance Trust

State law provides for a life insurance plan for active and retired teachers (KRS 161.655). The life insurance plan is funded by employer contributions. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the life insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014, to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Adopted December 16, 2013; amended December 9, 2015, September 19, 2016, September 18, 2017, November 14, 2017, September 16, 2019, September 21, 2020